



MARKET MONITOR

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2019 is drawing to a close, but market uncertainties are not. From escalating trade tensions to geopolitical risks, massive swine fever outbreaks and weather abnormalities, food markets have experienced more than their fair share of unpredictability this year. However, good supply conditions and strong fundamentals have spared the four AMIS crops from much disarray, also sustaining a cautiously optimistic market outlook for 2020.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▼
Rice	▲	▼
Soybeans	▼	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations and entities that form the AMIS Secretariat.

Feature article

The global maritime transport landscape is changing

Maritime transport handles over four-fifths of world merchandise trade by volume. It is now lying at a crossroad of intertwined forces spanning economics, politics, environment, and technology. Wide-ranging trends are redefining the sector with softer global economic growth being at the forefront. Trade tensions and geopolitical risks also constitute major risk factors.

Against this background, world maritime trade lost momentum in 2018, expanding at a rate below the historical average. Nearly 2 percent of maritime trade was affected by tariffs escalations (September 2018 to May 2019), especially grain, containerized trade and steel products. Winners and losers are emerging from product and supplier substitution and trade diversion effects. The upsurge in soybean exports from Brazil to China displacing shipments from the US is a case in point. Some China-based manufacturing activity moving to new locations in the region has also been observed. On the supply side, the rise of mega vessels, alliance reshuffling, and consolidation remain key features of the shipping industry. Fuel economics were also in focus as industry prepares for the entry into force on 1 January 2020 of IMO's regulation lowering the global sulphur cap in ship bunker fuel.

Meanwhile, structural factors are silently redefining the maritime transport landscape. Moderate global economic and trade growth contrasting with the pre-2009 period is becoming

the norm. Other forces at play include (1) supply chain restructuring in favour of more regionalized trade flows; (2) greater use of technology and services in value chains and logistics; (3) intensified natural disasters and climate-related disruptions; (4) changes in demand patterns; and (5) accelerated environmental sustainability and energy transition agendas.

Looking forward, maritime trade is projected to grow at an average annual rate of 3.4 percent over the 2019-2024 period. Nevertheless, several risks continue to cloud the horizon. Aside from a weakening in global demand, growth prospects of dry bulks – particularly relevant for AMIS – are also shaped by economic and regulatory developments in China, the mainstay of bulk trade for over a decade; potential supply-side disruptions (e.g. iron ore); the further spread of African Swine Fever (grain); and climatic factors, including those affecting maritime passages (e.g. low water levels in the Panama Canal and port closures in cyclone/hurricane prone regions). Containerized trade will remain under pressure due to continued overcapacity and weaker demand. A closer monitoring of these developments is crucial to ensure a better understanding of issues at stake and their implications for maritime transport and trade.

For more information, see:

[UNCTAD: Review of Maritime Transport 2019 – Sustainable Shipping, Geneva.](#)

World supply-demand outlook

- **Wheat** 2019 production raised, reflecting bigger harvests in the EU and Ukraine; the latest forecast points to an increase of nearly 5 percent from last year's record level.
- Utilization in 2019/20 lowered following further downgrading of feed use estimates in several countries; but still rising by 1.4 percent from the 2018/19 level driven by higher food, feed and industrial demand.
- Trade in 2019/20 (July/June) expected to expand by 2.3 percent from 2018/19 and reach the third highest level on record.
- Stocks (ending 2020) scaled up, mostly on expectation of larger build-ups in several major exporting countries; now indicating a 3.0 percent increase over the previous season and the second highest recorded level.

	FAO-AMIS			USDA		IGC	
	2018/19 est	2019/20 f'cast 7 Nov	5 Dec	2018/19 est	2019/20 f'cast 8 Nov	2018/19 est	2019/20 f'cast 22 Nov
Wheat							
Prod	731.6	765.0	766.4	731.3	765.6	733.0	761.6
Supply	600.1	631.0	632.4	599.9	633.6	601.5	629.6
Utiliz.	1,016.0	1,034.8	1,036.5	1,014.0	1,043.5	1,003.6	1,026.8
Trade	773.0	781.7	783.3	751.4	771.7	758.0	774.6
Stocks	747.8	759.5	758.3	736.1	755.2	738.3	755.9
	621.3	631.7	630.6	611.1	627.2	610.8	627.2
	168.2	172.1	172.0	174.9	180.3	168.9	173.1
	164.8	168.3	168.2	170.8	175.8	165.6	169.5
	270.1	274.9	278.2	277.9	288.3	265.3	271.0
	150.9	146.3	149.6	138.1	142.6	143.8	143.9

- **Maize*** production in 2019 increased on improved yields in China and in Ukraine, but still 1 percent below the 2017 record.
- Utilization in 2019/20 remains flat with a projected decline in feed use (most significantly in China, Ukraine and the US) offsetting the overall rise in food and industrial demand.
- Trade in 2019/20 (July/June) to contract but less than anticipated earlier, underpinned by stronger pace in exports from Brazil and Ukraine more than offsetting a slowdown in sales by the US.
- Stocks (ending in 2020) raised by 8.5 million tonnes, mostly reflecting upward revisions in China, Ukraine and, to a lesser extent, the US; but still down 5.4 percent from their opening level.

	FAO-AMIS			USDA		IGC	
	2018/19 est	2019/20 f'cast 7 Nov	5 Dec	2018/19 est	2019/20 f'cast 8 Nov	2018/19 est	2019/20 f'cast 22 Nov
Maize							
Prod	1,118.3	1,122.6	1,126.8	1,125.0	1,102.2	1,131.0	1,102.8
Supply	861.1	868.6	869.4	867.7	848.2	873.7	847.4
Utiliz.	1,487.2	1,479.0	1,485.5	1,466.7	1,422.2	1,469.9	1,420.7
Trade	1,024.7	1,028.7	1,031.8	986.9	956.9	991.9	960.9
Stocks	1,140.4	1,141.5	1,140.0	1,146.7	1,126.3	1,152.0	1,141.8
	870.7	867.3	865.8	873.7	849.3	873.5	860.2
	166.1	161.5	163.7	172.1	172.0	164.6	168.1
	161.6	158.4	160.6	166.5	165.0	159.6	163.1
	358.7	331.0	339.5	320.1	296.0	317.9	278.9
	162.5	152.5	157.6	108.7	100.7	113.4	95.7

- **Rice** 2019 production upgraded, as reductions for Thailand and Viet Nam are outweighed by improved prospects for Pakistan and several countries in Africa, in particular Egypt and Nigeria.
- Utilization in 2019/20 raised, mostly on more buoyant expectations regarding food intake; now seen rising by 0.7 percent y/y on a per capita basis.
- Trade in 2020 scaled back largely on account of downgraded imports by Nigeria, but also by China and Egypt.
- Stocks (2019/20 carry-outs) raised further, with rice exporters, in particular India and Thailand, accounting for much of the revision.

	FAO-AMIS			USDA		IGC	
	2018/19 est	2019/20 f'cast 7 Nov	5 Dec	2018/19 est	2019/20 f'cast 8 Nov	2018/19 est	2019/20 f'cast 22 Nov
Rice							
Prod	517.5	513.4	515.0	499.3	497.8	500.6	500.4
Supply	372.1	370.0	371.6	350.9	351.8	352.1	353.2
Utiliz.	691.7	696.5	698.0	661.9	671.1	663.8	674.9
Trade	441.3	447.5	449.0	404.5	410.5	412.5	420.2
Stocks	510.9	515.9	516.8	488.6	494.0	489.3	495.3
	364.7	369.3	370.5	345.6	351.0	346.3	351.8
	45.5	47.7	46.6	44.7	46.2	43.5	45.4
	41.8	44.1	43.5	39.0	40.1	40.8	42.4
	183.0	180.9	181.6	173.3	177.0	174.5	179.5
	77.4	77.8	78.5	58.7	60.3	63.4	65.4

- **Soybean** 2019/20 production forecast trimmed, as downward adjustments in South American crops are only partially compensated by higher estimates elsewhere.
- Utilization in 2019/20 lifted marginally, underpinned primarily by upward revisions in China.
- 2019/20 trade forecast raised slightly on higher import demand by China, reflecting a possible recovery in soymeal demand fueled by herd rebuilding.
- Stocks (2019/20 carry-outs) lowered further on reduced forecasts in a number of countries. Global inventories poised to drop by almost one-fourth from last season's historic record.

	FAO-AMIS			USDA		IGC	
	2018/19 est	2019/20 f'cast 7 Nov	5 Dec	2018/19 est	2019/20 f'cast 8 Nov	2018/19 est	2019/20 f'cast 22 Nov
Soybeans							
Prod	361.7	343.1	342.5	358.8	336.6	359.5	341.2
Supply	345.7	326.1	325.5	342.9	319.5	343.5	324.0
Utiliz.	406.9	402.4	401.7	457.9	446.2	404.1	393.8
Trade	377.5	373.4	373.2	418.9	409.8	283.7	270.9
Stocks	351.9	355.5	356.5	345.4	349.6	351.6	358.6
	251.5	254.4	254.5	243.3	247.4	248.9	254.4
	150.4	150.5	150.9	149.1	149.8	151.1	151.1
	67.9	65.3	64.7	63.2	63.5	65.0	62.9
	59.2	47.0	45.4	109.9	95.4	52.6	35.3
	47.7	34.1	32.9	90.1	76.3	34.9	16.7

i Data shown in the second rows refer to world aggregates without China; world trade data refer to exports while world trade without China excludes exports to China.

To review and compare data, by country and commodity, across three main sources, go to <https://app.amis-outlook.org/#/market-database/view-and-compare>

Estimates and forecasts may differ across sources for many reasons, including different methodologies.

*The 2019 AMIS-FAO world maize production forecast includes southern hemisphere maize crops harvested in 2019 whereas IGC and USDA include southern hemisphere maize crops to be harvested in 2020 in their 2019 world production numbers.

For more information see explanatory notes on the last page of this report.

Summary of revisions (FAO-AMIS) since the previous report

in thousand tonnes

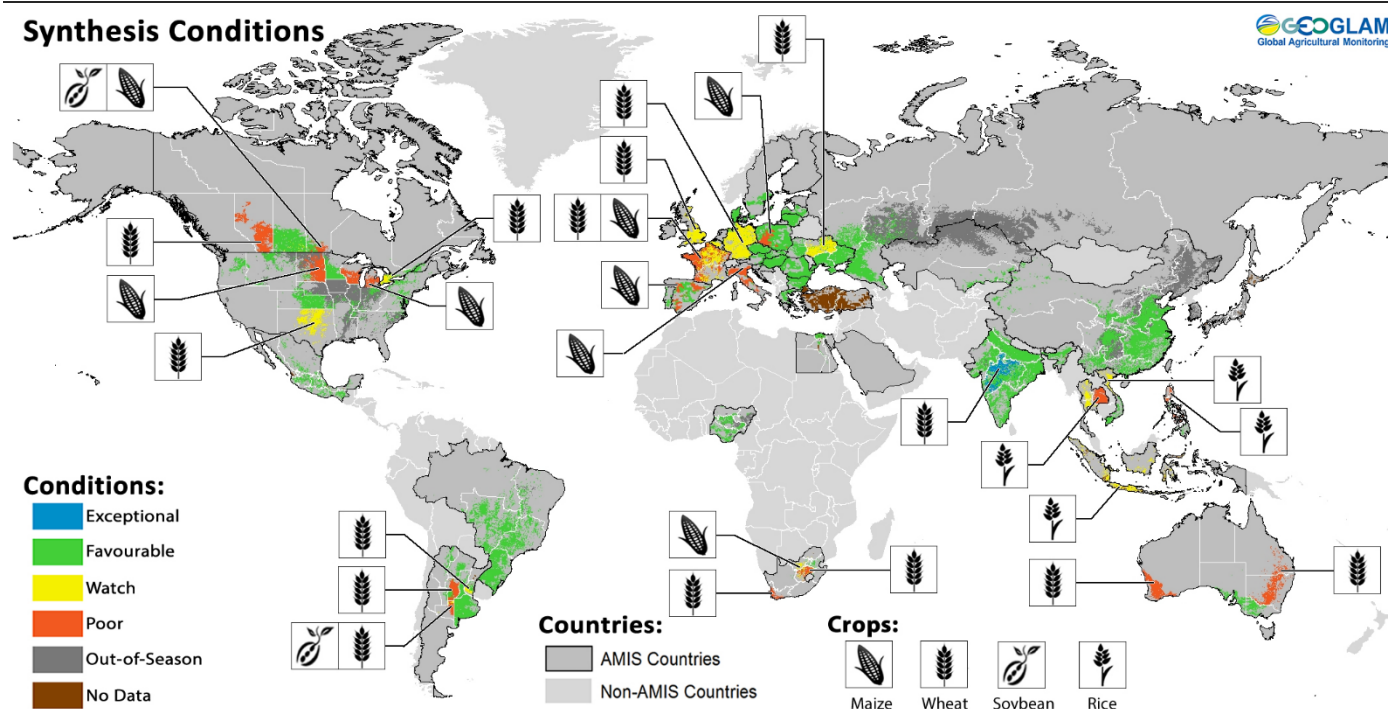
	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	1342	-110	-1124	101	3301	4174	2223	-1499	2201	8486
Total AMIS	1147	380	-824	101	3418	3556	2525	-853	1850	8752
Argentina	-600	-	200	-200	-300	-	-	-	-	-
Australia	-	-	-	-200	-	-	-	-	-	-
Brazil	128	-100	28	-	-	-	150	-900	2000	-
Canada	1	-	36	-	-	30	-	30	-	-
China Mainland	-	-	-	-	-	3400	-	-	-	3400
Egypt	-	-	-	-	-	-	-	-	-	-
EU	1977	-	-357	-	2000	120	1500	1120	-	500
India	-	-	-	-	-	-	-	-	-	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	1440	-	500	1690	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	-	-400	-300	-	-100	-	-25	-25	-	-
Rep. of Korea	-6	-360	-303	-	-	-	450	105	-	595
Russian Fed.	-	-	-	-	-	-	-	-	-	-
Saudi Arabia	-	-	-	-	-	-	-	-	-	-
South Africa	-	-	-	-	-	-	-	-	-	-
Thailand	-	-	-1	1	-	-	100	250	-150	-
Turkey	-	350	200	-	154	-	-	-	-	-
Ukraine	779	-	-	-	779	1000	-	-920	1500	2380
US	-1132	-550	-327	-	-805	-994	-	-513	-1500	1527
Viet Nam	-	-	-	-	-	-	350	-	-	350

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	1561	-1141	918	-1030	677	-548	322	1017	290	-1560
Total AMIS	1221	-1705	632	-1015	1022	-153	1192	1717	-70	-1040
Argentina	-20	-	25	-	-	-200	130	-	-	-
Australia	-	-	-	-	-	-	-	-	-	-
Brazil	-	-35	-184	-5	-	-600	-	-100	0	-
Canada	-	-100	9	-	260	-	-	-30	30	-
China Mainland	-	-470	-335	-100	-	-	1000	900	-	-400
Egypt	1166	-130	626	-	230	-	-200	-170	-	-30
EU	-40	-	-12	-	-20	82	-	93	-11	-
India	-	-	200	-570	200	600	80	730	-50	-
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-7	-	3	-	20	-	-80	170	-	-250
Nigeria	930	-980	340	-	20	-	-	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	65	-	-	10	35	-	-	-	-	-
Saudi Arabia	-	30	-	-	-	-	-	-	-	-
South Africa	-	30	-	-	-	-	-	-	-	-
Thailand	-376	-	244	-500	600	-	-	41	-1	10
Turkey	-	-	-	-	-	-	80	348	-88	-
Ukraine	3	-	3	-	-	-35	-	-135	50	-
US	-23	-	-0	-	-23	-	-	-300	-	-400
Viet Nam	-478	-50	-288	150	-300	-	182	170	-	30

Crop monitor

Crop conditions in AMIS countries (as of 28 November)

Synthesis Conditions



Crop condition map synthesizing information for all four AMIS crops as of 28 November. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

Wheat - In the northern hemisphere, spring wheat harvest wraps up in Canada under mixed conditions. Winter wheat conditions remain generally favourable except for a few areas. In the southern hemisphere, mixed conditions remain in Australia and Argentina.

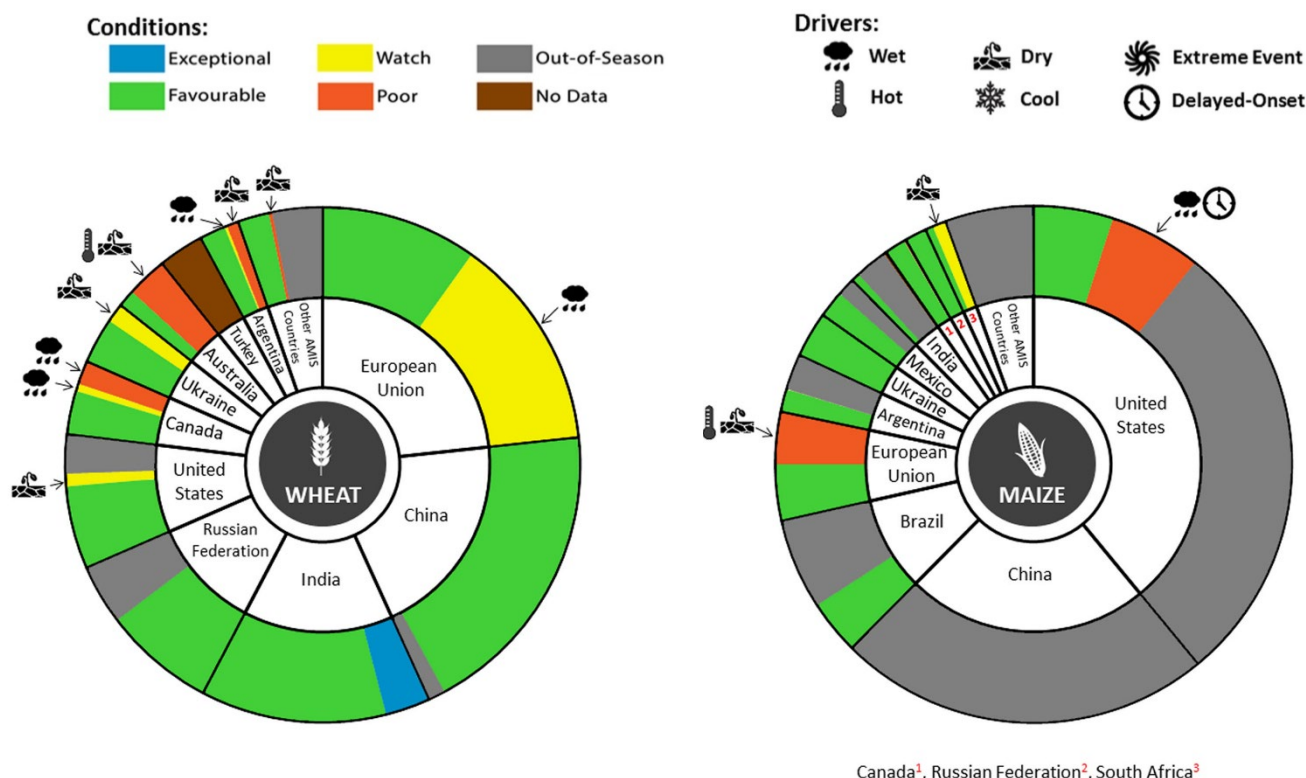
Maize - In the northern hemisphere, harvest is wrapping up under mixed conditions particularly in North America and Europe, while under favourable conditions in Ukraine and the Russian Federation. In the southern hemisphere, sowing of the spring crop continues under favourable conditions in Argentina and Brazil.

Rice - In China, late-season rice harvest is finishing. In India, Kharif rice is harvesting while Rabi rice is sowing. In Southeast Asia, conditions are downgraded for wet-season rice across the northern region due to adverse weather conditions. In Indonesia, dry-season rice is harvesting under favourable conditions while the sowing of wet-season rice is behind schedule.

Soybeans - In the northern hemisphere, harvest is wrapping up under mixed conditions in Canada. In the southern hemisphere, sowing continues in Brazil and Argentina under favourable conditions.

Neutral ENSO conditions and Positive IOD

El Niño-Southern Oscillation (ENSO) conditions are neutral and are most likely to remain neutral through June 2020. The Indian Ocean Dipole (IOD) is in a strong positive state and is forecast to remain positive through the rest of 2019, potentially into January 2020. A positive IOD tends to enhance rainfall in parts of East Africa and suppress rainfall in Australia.



Wheat

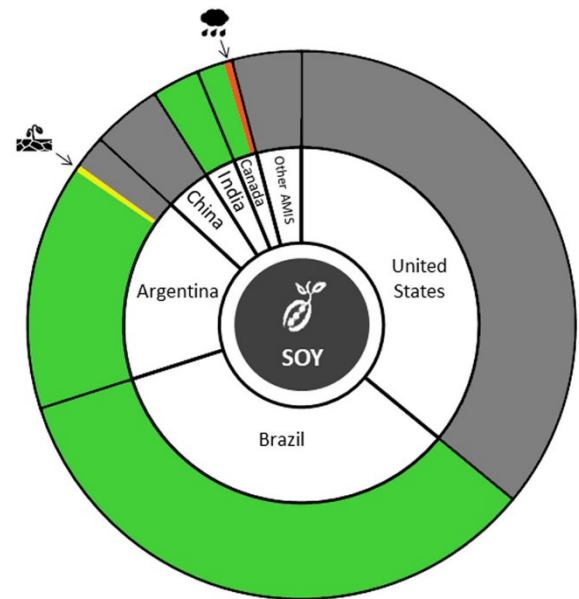
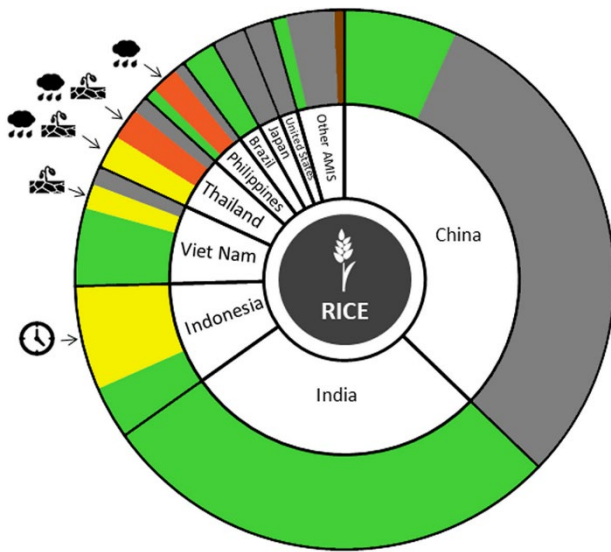
In the **EU**, sowing of winter wheat started under mixed conditions due to variable climate conditions. In **Ukraine**, winter wheat conditions have improved as very warm weather in November is facilitating crop development despite presenting some areas of low soil moisture. In the **Russian Federation**, conditions are favourable for winter wheat entering dormancy with only spot areas of dryness in the south. In **Kazakhstan**, winter wheat conditions are favourable as the crop enters dormancy. In **China**, conditions are generally favourable for winter wheat in the early vegetative stage heading into winter. In the **US**, winter wheat is favourable across most of the country except for the southern Great Plains, which has been experiencing dryness this fall. In **Canada**, spring wheat is wrapping up under mixed conditions due to excessive moisture and delayed crop maturity, with some of the crop expected to remain on the field over winter. Winter wheat is under mixed conditions going into winter due to the late sowing caused by the delayed harvest of spring crops. In **Australia**, below-average rainfall and above-average temperatures in early spring, particularly in Western Australia and Southern New South Wales, have significantly reduced yields. In **Argentina**, harvest is wrapping up in the northern region under generally favourable conditions. However, conditions are mixed for Buenos Aires and Entre Ríos, and poor for La Pampa and Cordoba due to prolonged dry conditions throughout the season.

Maize

In the **US**, harvest is still ongoing in the northerly regions of the country, with an expected decrease in production from those states due to both a reduction in harvested area and yields. In **Canada**, harvest is wrapping up under variable conditions due to a lack of heat during the season and a late start, particularly in Ontario, the main producing province. In **Mexico**, harvest of the spring-summer crop is continuing under generally favourable conditions, total sown area is reduced compared to the 5-year average. In **India**, sowing of Rabi maize is beginning under favourable conditions. In the **EU**, rainfall is hampering harvest in France and Germany in an already mixed condition season due to summer heatwaves. In **Ukraine**, harvest is wrapping up under favourable conditions. In the **Russian Federation**, harvest is finishing under favourable conditions with an increase in yields compared to last year. In **Brazil**, sowing continues for the spring-planted crop (smaller season) under favourable conditions. In **Argentina**, conditions are favourable as sowing of the spring-planted crop is boosted by recent rainfall.

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (95 percent of production) shown individually and the remaining 5 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Conditions:**Drivers:****Rice**

In **China**, late-season rice harvest is finishing under favourable conditions with slightly higher yields compared to last year. In **India**, conditions are favourable as harvesting of Kharif rice has been completed in the northern states and is continuing in the southern and eastern states. Rabi rice sowing has begun in southern states under favourable conditions. In **Indonesia**, harvest of dry-season rice is wrapping up with yields slightly above last year's, albeit with a noticeable reduction in harvested area relative to last year due to water shortages. Wet-season rice sowing is continuing at a delayed pace due to continuing water shortages. In **Viet Nam**, harvest of summer-autumn rice (wet-season rice) is ongoing under mixed conditions, as a mid-season drought in the north has reduced expected yields. In the south, wet-season rice yields are expected to be slightly higher than last year, and sowing of dry-season rice has begun. In **Thailand**, wet-season rice conditions remain mixed nation-wide due to dry conditions at the beginning of the season followed by damage from heavy rainfall and flooding of fields in August and September. In the **Philippines**, yields of earlier sown wet-season rice are reduced due to the effects of moisture stress, while later sown crops are under favourable conditions having experienced normal rainfall levels. In **Brazil**, conditions are favourable, however sowing is delayed due to excessive rainfall.

Soybeans

In **Canada**, harvest is wrapping up under generally favourable conditions with the exception of areas in Manitoba, where below normal precipitation during the season reduced overall yields. In the prairies, wet conditions have led to high moisture content in most of the crop and inability to harvest some areas. In **India**, harvest is wrapping up under favourable conditions. In **Brazil**, conditions are favourable despite the delay in sowing compared to last year. An increase in total sown area is expected compared to last year. In **Argentina**, sowing is beginning under generally favourable conditions, supported by recent rainfall.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 5 December 2019

Policy developments

Wheat

- On 6 November, **Brazil** announced the implementation of an annual duty-free tariff rate quota (TRQ) of 750 000 tonnes of wheat imports bound in its WTO schedule of commitments. The out-of-quota duty levied on wheat imports is 10 percent, bound at 55 percent in its schedule.

Rice

- On 6 November, **China** and the **EU** concluded a bilateral agreement to protect a list of 100 European Geographical Indications (GIs) in China and 100 Chinese GIs in the EU. The list includes various rice products of Chinese origin. The agreement is subject to ratification by the two parties.
- On 6 November, following the EU's Decision to reduce the Maximum Residue Level (MRL) of Tricyclazole in rice from 0.03 to 0.01 mg per kg (see Market Monitor - July 2017), the **Indian** foreign trade department mandated the rice exporters to the EU and other European countries to require a certificate of inspection from the Indian Export Inspection Council/Export Inspection Agency with immediate effect.
- Following the termination of a preliminary safeguard investigation on the importation of rice by the **Philippines** (communicated in G/SG/N/9/PHL/3), on 21 November, the Ministry of Agriculture announced that the Bureau of Plant Industry will implement stricter pre-inspection safety and quality requirements at the point of origin.
- On 19 November, the Ministry of Agriculture of **South Korea** announced that out of a WTO bound TRQ of 408 700 tonnes of rice, annual country-specific allocations will be reserved to China (157 195 tonnes), the US (132 304 tonnes), Viet Nam (55 112 tonnes), Thailand (28 294 tonnes) and Australia (15 595 tonnes). These country-specific allocations are part of Korea's rice tariffication package, which takes effect from 1 January 2020. The bound in-quota duty is 5 percent and out-of-quota duty is 513 percent.
- On 25 November, **Thailand** approved a TBT 70 billion (USD 2.3 billion) programme to stabilize paddy rice prices for the up-coming annual harvest. The programme covers a loan scheme of TBT 10 billion (USD 330.7 million) for farmers who agree to delay their paddy sales (TBT 1 500 (USD 49.6) per tonne); a loan scheme of TBT 15 billion (USD 496.1 million) for agricultural cooperatives to gather and add value to the grain; soft loans for farmers, farm institutes, agricultural cooperatives and community enterprises to build rice barns for storage; and the 3 percent interest rate subsidy programme for rice traders who agree to hold their stocks for 2 to 6 months.

- On 6 November, in its notifications to the WTO, the **US** established MRLs for Thiamethoxam and Clothianidin in rice at 6 and 0.5 ppm respectively until 31 December 2024. In addition, on 7 November, the US established an MRL of 5 ppm for Sulfoxaflor in rice grains and husks.

Soybeans

- On 21 November, in order to reduce vegetable oil imports, the Ministry of Agriculture of **Egypt** announced that it aims to increase the planting area for soybean from 37 000 feddans (15 500 hectares) in 2018-2019 to 80 000 feddans (36 600 hectares) in 2019-2020.

Biofuels

- On 1 November, the Finance Ministry of **Argentina** increased the price of maize-based ethanol used in fuel blending from ARS 24.635 to ARS 26.606 (from USD 0.412 to 0.445) per litre (Resolution No. 290/2019).
- After augmenting the minimum biodiesel blend from 10 to 11 percent (see Market Monitor - September 2019), on 7 November, the Ministry of Mines and Energy of **Brazil** announced a further increase from 11 to 12 percent effective from 1 March 2020. Blend levels will be increased by a further one percentage point each year, targeting a 15 percent mix by 2023. The measure is expected to boost local soybean demand.

Across the board

- On 7 November, **Australia** announced low-cost loans to farmers affected by drought of approximately AUD 1 billion (USD 690 million) as well as a rural infrastructure package of AUD 500 million (USD 338.9 million). Producers will be granted temporary interest-free loans of up to AUD 2 million (USD 1.3 million) and agricultural business units will receive concessional loans of up to AUD 500 000 (USD 338.9) to be payable over ten years, of which the first 2 years would be interest-free. An interest would be charged between years 3 to 5 and the remaining interest payments with the principal amount would be due from the sixth year.

Trade Junctions

- On 19 November, grain shipments in **Canada** were affected by an eight-day long nationwide strike by workers of the Canadian National Railway Co.
- On 4 November, Arc infrastructure, an **Australian** company that manages Western Australia's freight rail, and CBG Group reached an agreement that gives grain growers access to the rail network until December 2026. The agreement was a result of an arbitrated outcome that addressed the cost of using the rail system.



AMIS Policy Database

Visit the AMIS Policy Database at: <http://www.amis-outlook.org/database/policy-database/en/>

The AMIS Policy Database gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

Only AMIS participants are marked in **bold**.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Nov 2019 Average*	% Change M/M	% Change Y/Y
GOI	190	- 0.3%	- 2.5%
Wheat	181	- 1.5%	- 7.8%
Maize	178	+ 2.3%	+ 2.9%
Rice	161	- 0.5%	- 0.2
Soybeans	182	+ 0.4%	- 0.1%

*Jan 2000=100, derived from daily export quotations

Wheat

World wheat export prices were pressured by ample global supplies and strong competition for export business. Underpinning continued to come from uncertain production prospects in the southern hemisphere. Less than ideal conditions for planting and establishment of 2020/21 crops in parts of the northern hemisphere also helped to buoy values. Signs of waning export interest and generally good conditions for winter wheat anchored prices in the US. In the EU, overly wet conditions for 2020/21 seeding in certain areas underpinned values, but any upward momentum was dampened by a heavy export surplus. After several weeks of gains, export prices in the Russian Federation started to edge lower with producers said to be more active sellers and as exporters discounted offers in order to stimulate business.

Maize

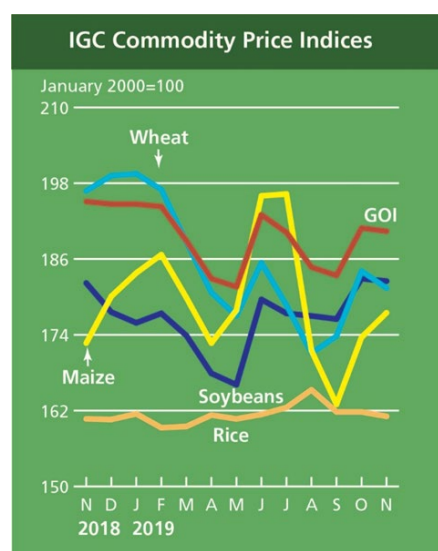
The IGC GOI maize sub-Index firmed for a second consecutive month in November, with prices higher across all major origins. Gains were especially pronounced in Argentina, as exporters looked to cover spot demand against a background of reluctant farmer selling. Worries about adversely dry sowing weather also underpinned. Strength in the Brazilian market was linked to sustained buying interest from local and international users, as well as a seasonal decrease in supplies. Quotations in Ukraine climbed on steady overseas demand, including from China. US prices were supported by harvest delays but with the upside capped by stiff competition for business.

Rice

New crop harvesting pressure in leading Asian exporters mildly weighed on average international rice prices. Subdued international demand also pressured, with purchasing from West Africa restricted amid the ongoing Nigerian border closure. Thai values continued to be supported by strength in the local currency, while government procurement and delays to fieldwork in some key exporting states pared losses to nearby quotes in India. In the US, tight milling availability provided some support.

Soybeans

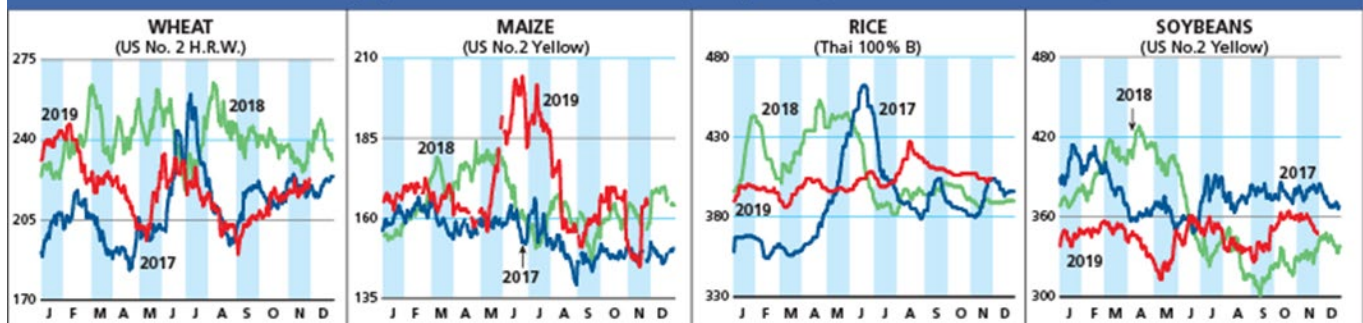
Average global soybean export prices were steady during November owing to marginally offsetting changes at key origins. While firm international demand, highlighted by a series of sizeable weekly export sales tallies, provided support to US FOB values, background worries about US-China trade talks and the potential for a wide-ranging agreement weighed. Despite reports of large new crop purchases by China, underlying concerns about future demand and improved seeding weather were key influences in Brazil's market. Together with currency movements, dollar-denominated export values retreated slightly m/m. In Argentina, Up River prices were broadly unchanged on fresh buying interest and mild concerns about less than optimal conditions in some growing provinces.



		IGC commodity price indices				
		GOI	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2018	November	195.1	196.8	172.7	160.7	182.2
	December	194.7	199.2	180.1	160.6	177.6
2019	January	194.7	199.5	183.8	161.5	175.9
	February	194.3	197.0	186.7	159.3	177.4
	March	188.9	188.7	179.9	159.5	173.9
	April	182.9	180.7	172.7	161.3	167.9
	May	181.6	177.0	177.9	160.7	166.1
	June	193.0	185.4	196.0	161.4	179.7
	July	190.2	178.7	196.3	162.5	177.4
	August	184.7	171.1	171.5	165.3	177.0
	September	183.4	173.8	163.0	161.8	176.5
	October	190.9	184.1	173.6	161.8	182.9
	November	190.3	181.4	177.7	161.0	182.1

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2017-2019)

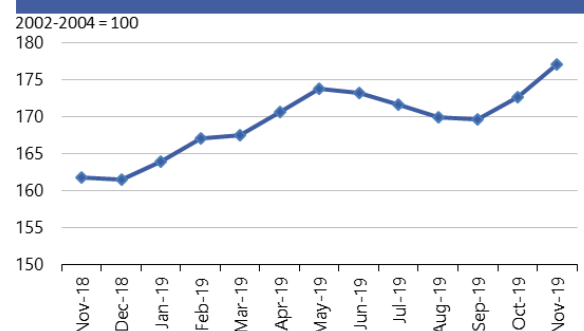
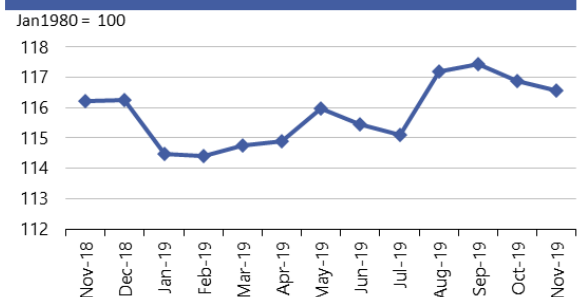


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Month ago (2)	Year ago (3)	% change (1) over (2)	% change (1) over (3)
..... USD/tonne						
Wheat (US No. 2, HRW)	29-Nov	223	215	239	3.7%	-6.7%
Maize (US No. 2, Yellow)	29-Nov	164	154	163	7.0%	1.0%
Rice (Thai 100% B)	29-Nov	404	407	389	-0.7%	3.9%
Soybeans (US No. 2, Yellow)	29-Nov	347	358	336	-3.1%	3.3%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	Nov 2019 Average	Monthly Change	Annual Change
Argentina	ARS	59.6	-2.0%	-63.6%
Australia	AUD	1.5	0.5%	-6.2%
Brazil	BRL	4.2	-1.8%	-9.8%
Canada	CAD	1.3	-0.3%	-0.2%
China	CNY	7.0	1.1%	-1.2%
Egypt	EGP	16.1	0.6%	10.0%
EU	EUR	0.9	-0.1%	-2.8%
India	INR	71.5	-0.7%	0.3%
Indonesia	IDR	14,053.9	0.4%	4.1%
Japan	JPY	108.9	-0.7%	4.0%
Kazakhstan	KZT	387.7	0.3%	-4.5%
Rep. Korea	KRW	1,167.3	1.3%	-3.7%
Mexico	MXN	19.3	0.1%	4.6%
Nigeria	NGN	306.4	0.0%	-0.2%
Philippines	PHP	50.7	1.4%	3.7%
Russian Fed.	RUB	63.8	0.7%	4.0%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	14.8	0.8%	-5.2%
Thailand	THB	30.2	0.3%	8.2%
Turkey	TRY	5.7	0.9%	-7.4%
UK	GBP	0.8	1.8%	-0.1%
Ukraine	UAH	24.3	2.0%	13.0%
Viet Nam	VND	23,198.8	0.0%	0.5%

FAO Food Price Index
Nov 2018- Nov 2019Nominal Broad Dollar Index
Nov 2018-Nov 2019

Source: US Federal Reserve

Futures markets

Futures Prices – nearby

	Nov-19 Average	% Change	
		M/M	Y/Y
Wheat	190	1.6%	2.1%
Maize	147	-4.1%	2.1%
Rice	264	1.2%	11.1%
Soybeans	333	-2.0%	3.3%

Source: CME

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Nov-19	Oct-19	Nov-18
Wheat	19.8	21.4	22.2
Maize	22.5	27.1	15.2
Rice	13.4	15.4	17.7
Soybeans	11.5	16.1	19.1

Futures Prices

Prices for wheat, maize and soybeans exhibited small m/m changes, as questions over production and trade issues somewhat subsided. Maize prices fell m/m by 4.1 percent despite USDA's slight lowering of production in its November supply and demand estimates report as exports lagged considerably behind last year's pace. Soybean prices registered a 2 percent m/m decline as Brazilian exports to China continued to outpace US exports to the world's largest importer. Wheat prices remained about unchanged with the soft red wheat variety persisting in an approximate USD 33 premium to the hard red variety. Wheat values also reflected concern over quality of 2020 crop prospects and a rise in US wheat exports y/y. Rice showed a negligible decline with global ending stocks reaching record levels. In exogenous markets, a steady USD following its sell-off in October, and little movement in crude oil prices did not appear to impact agricultural markets. Prices y/y were all higher by varying degrees at 2.1, 2.1, 3.3, and 11.1 percent respectively for wheat, maize, soybeans and rice.

Volumes and volatility

Trade volumes followed typical seasonal patterns m/m, rising for maize and falling for wheat and soybeans. Yearly volumes were set to exceed previous records for maize but not for wheat or soybeans which peaked in 2018 and 2016 respectively. Historical and implied volatility fell m/m for the three commodities and fell similarly y/y for wheat and soybeans but increased for maize.

Basis levels and transport

Domestic basis levels revealed regional divisions in pricing, showing unseasonably firm levels for maize and soybeans in the eastern maize belt and normal harvest levels in the west. In Illinois, average quotes to local elevators were steady at minus USD 2 per tonne for maize, and minus USD 7 per tonne for soybeans, each under the respective December and January futures prices with several locations

quoting large premiums to futures for maize. In Iowa, maize and soybean bids were minus USD 10 and minus USD 26 respectively (under the respective futures). In soft red wheat, bids for delivery to northern flour mills remained very firm quoted as high as USD 9 per tonne premium to December futures. Maize bids delivered to gulf were higher m/m at USD 19, soybean bids were steady at USD 19, while wheat quotes were higher at around USD 35 (per tonne premium over respective nearby futures). Barge freight for the Lower Illinois River remained stable around USD 20 per tonne, rising slightly above the three-year average. In export markets, the USDA reported for wheat total shipped and unshipped 2019/20 export commitments were 11 percent higher y/y (all wheat classes). Soybeans exports reflected a swift regaining of market share, attaining a 5 percent increase y/y. Maize exports, however, showed a pronounced slump in commitments standing at 54 percent of levels reported y/y.

Forward curves

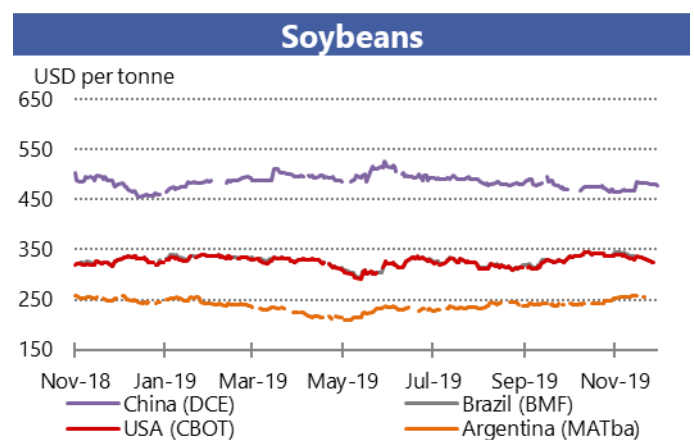
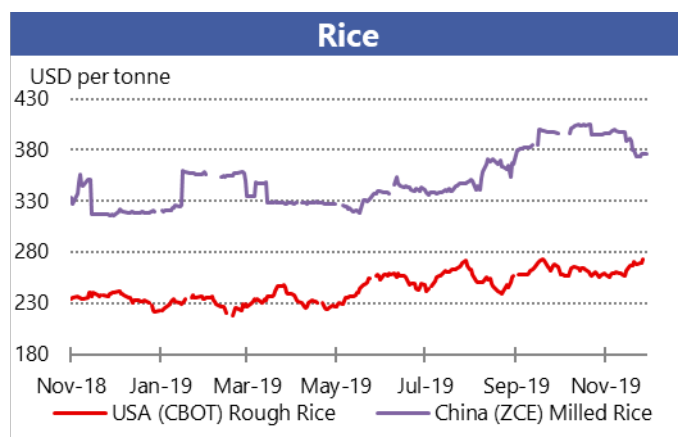
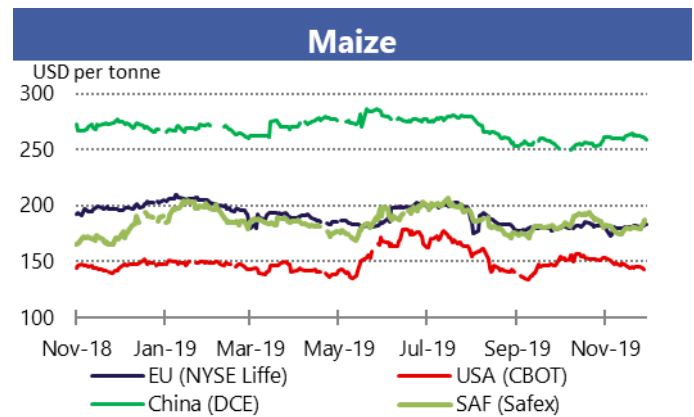
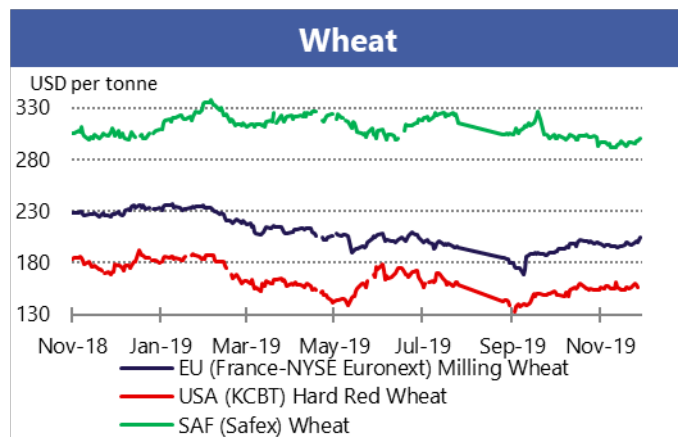
Forward curves for wheat, maize and soybeans were little changed m/m as domestic and global supplies appeared adequate while demand was mostly lackluster. Wheat curves remained in an atypical narrow contango configuration in response to persistently high basis levels close to the delivery market area.

Investment flows

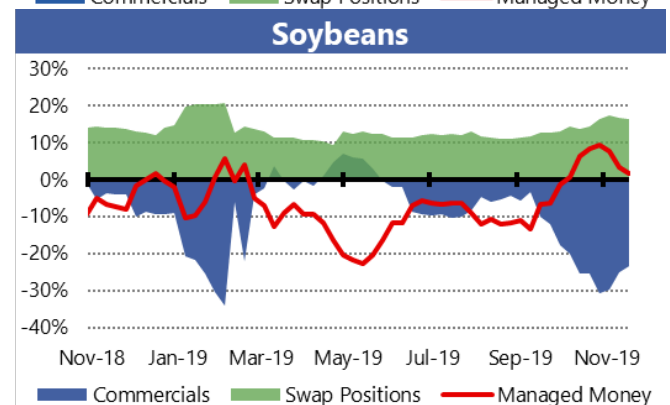
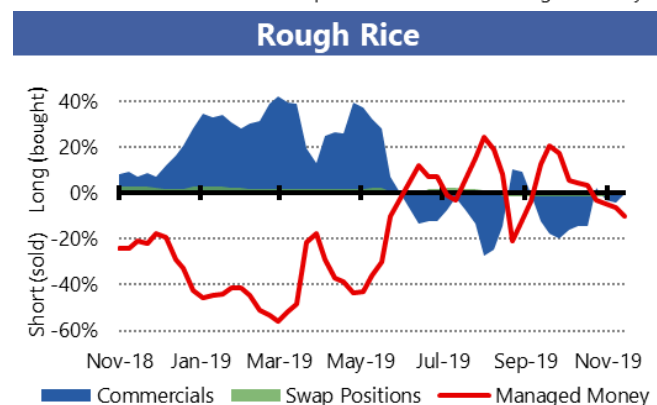
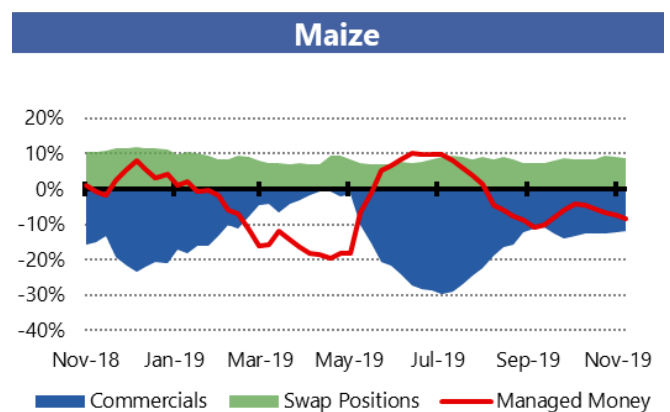
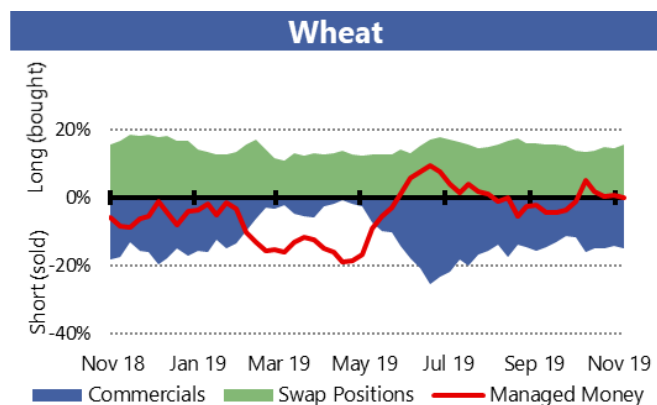
Managed money reduced its net long positions in wheat and soybeans to almost even while increasing its net short position in maize, which it established in August. For both wheat and soybeans, managed money held spread positions exceeding the number of outright long or short positions, expanding its betting beyond price direction to the shape of forward curves. Commercial hedgers remained close to unchanged in their net short positions wheat and maize, but reduced their net short exposure in soybeans as US export activity and outlook improved.

Market indicators

Daily quotations from leading exchanges - nearby futures

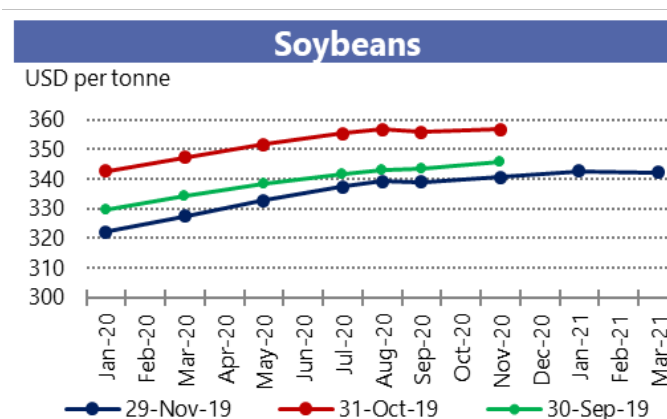
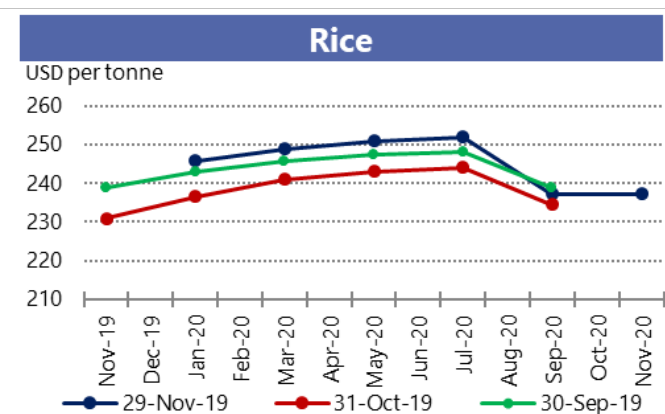
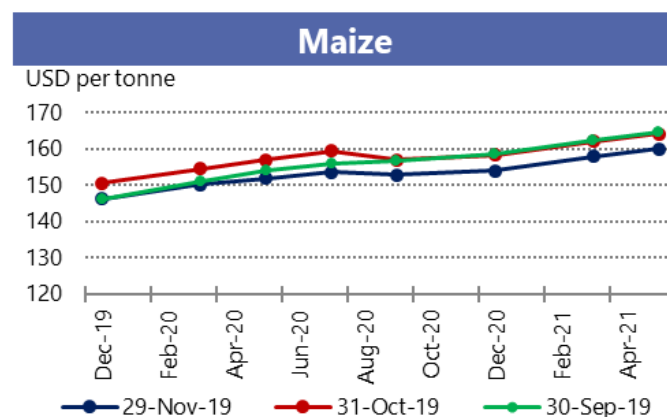
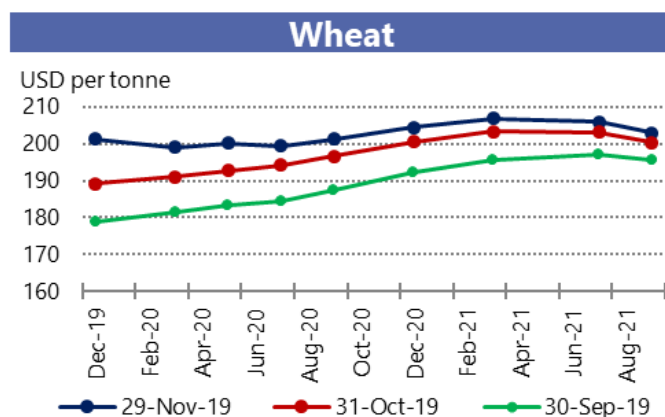


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

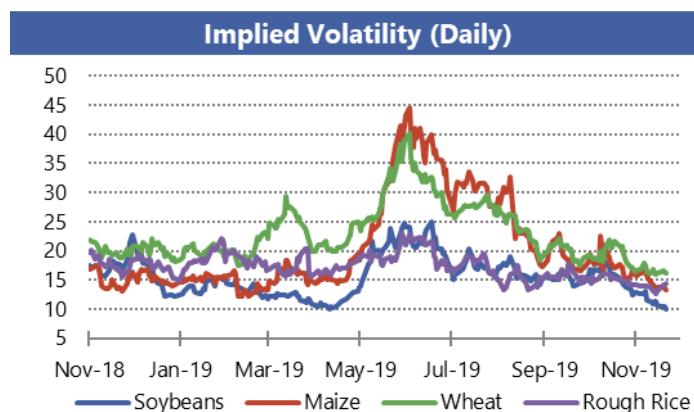
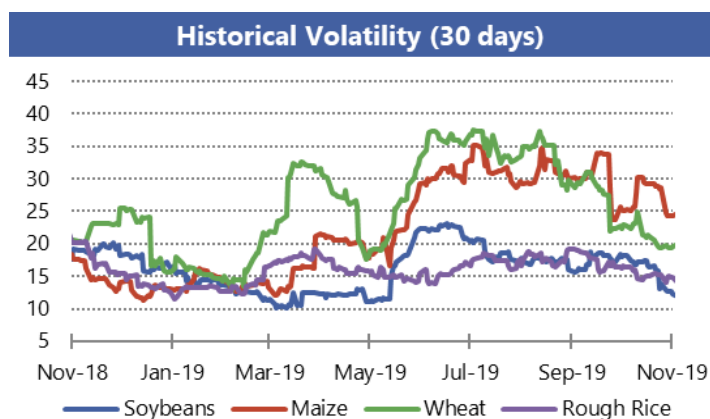


*Disaggregated futures only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities

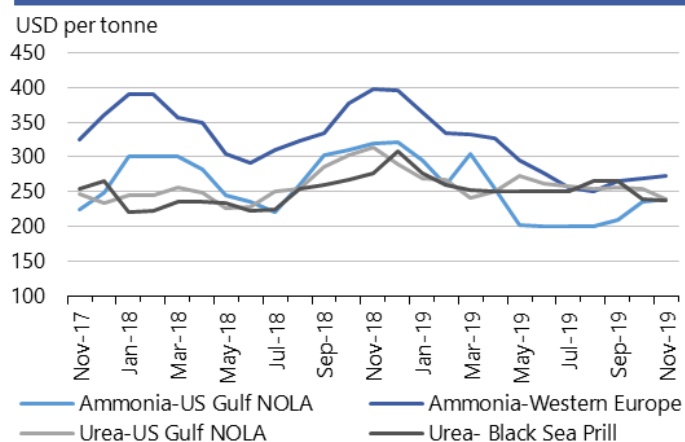


i AMIS market indicators

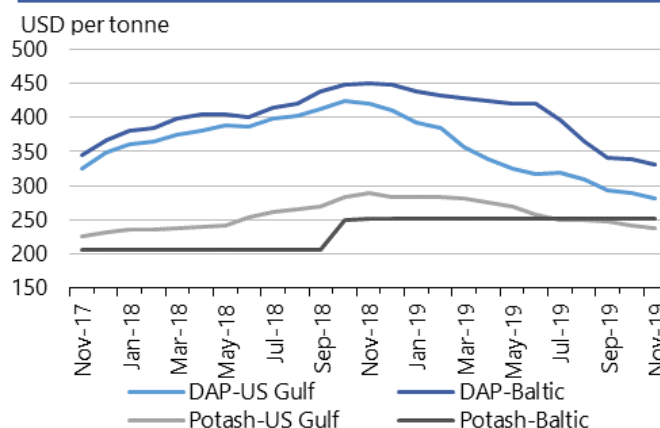
Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

Fertilizer outlook

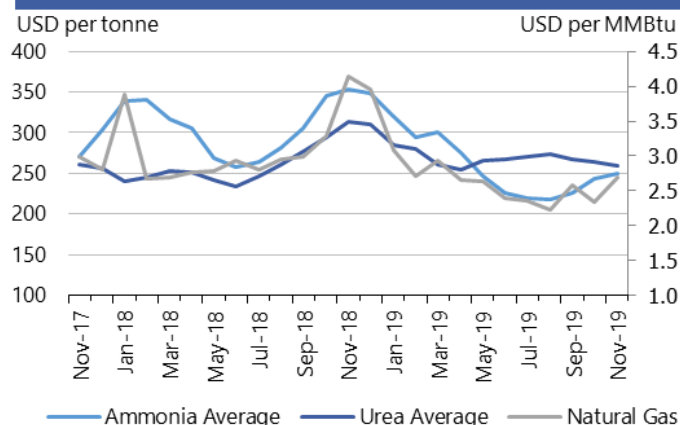
**Ammonia and Urea
(Spot prices)**



**Potash and Phosphate
(Spot prices)**



**Ammonia Average, Urea Average and Natural Gas
(Spot prices)**



- Colder than average temperatures in the northern hemisphere combined with decreasing inventories pushed **natural gas** prices to a higher level.
- **Ammonia prices** continued to marginally increase due to global supply contraction.
- **Urea prices** fell compared to last month, especially the US Gulf, due to the late US summer crop harvest and subsequent delays in fall applications.
- **DAP prices** were lower than the previous month, due to supply surpluses in the northern hemisphere and a weaker seasonal demand.
- **Potash prices** continued to decrease due to a slow fall application season in the US.

	November average	November std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	240.0	5.8	2.1%	-25.0%	322.0	200.0
Ammonia-Western Europe	272.5	5.0	1.4%	-31.5%	395.0	250.0
Urea-US Gulf	239.5	12.8	-6.0%	-23.5%	290.5	239.5
Urea-Black Sea	237.5	2.9	-0.6%	-13.9%	308.0	237.5
DAP-US Gulf	281.8	7.0	-2.7%	-33.1%	410.3	282.0
DAP-Baltic	331.3	2.5	-2.2%	-26.4%	448.0	331.0
Potash-Baltic	251.5	1.0	-0.2%	-0.2%	252.0	252.0
Potash- US Gulf NOLA	237.5	2.9	-2.0%	-17.9%	284.0	238.0
Ammonia	249.1	4.1	2.2%	-29.6%	348.6	218.3
Urea	258.7	5.9	-2.1%	-17.3%	310.2	254.0
Natural Gas	2.7	0.1	15.3%	-35.0%	4.0	2.2



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.

Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.

Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill and Mediterranean were averaged to obtain Urea Average prices.

Natural Gas: Henry Hub Natural Gas Spot Price from ICE up to December 2017 and from Bloomberg (BGAP) from January 2018 onwards. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers

DAP: Diammonium Phosphate.

Ocean freight markets

Dry bulk freight market developments

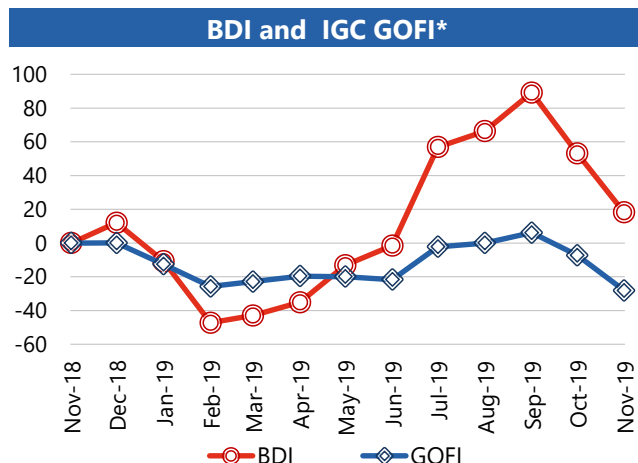
	November-19 average	Change m/m	Change y/y
Baltic Dry Index (BDI)*	1408.5	-22.9%	+18.2%
<i>sub-Indices:</i>			
Capesize	2614.7	-15.5%	+60.7%
Panamax	1238.3	-30.2%	-15.3%
Supramax	814.6	-32.1%	-17.2%
Baltic Handysize Index (BHSI)**	526.5	-18.9%	-18.7%

Sources: Baltic Exchange, IGC.

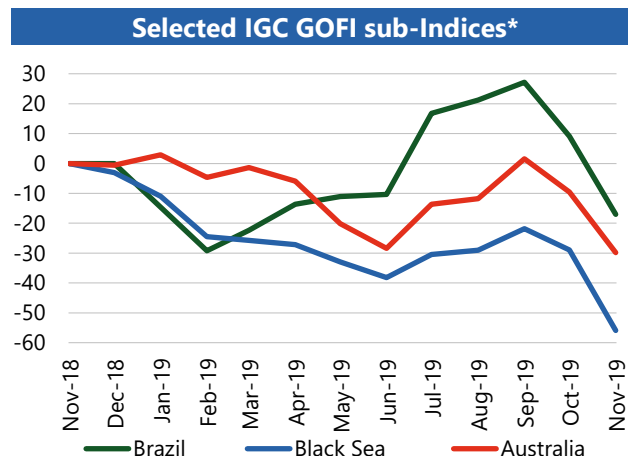
*4 January 1985 = 1000. **23 May 2006 = 1000.

***1 January 2013 = 100.

	November-19 average	Change m/m	Change y/y
IGC Grains and Oilseeds Freight Index (GOFI)***	104.3	-22.5%	-28.1%
<i>sub-Indices:</i>			
Argentina	122.8	-19.4%	-37.8%
Australia	65.2	-22.4%	-29.9%
Brazil	132.9	-24.0%	-17.1%
Black Sea	107.1	-38.0%	-55.9%
Canada	87.2	-22.0%	-35.3%
Europe	85.5	-17.6%	-44.1%
US	89.4	-19.6%	-28.5%



*percentage change based on monthly average values



- Slow demand across all loading areas, especially for medium-sized vessels, continued to pressure rates in the dry bulk freight market, the benchmark **Baltic Dry Index (BDI)** averaging 23 percent lower m/m. Reflecting increased volatility, the Index shifted from a near nine-year high recorded in early September to a five-month low by late November.
- Nevertheless, factors related to the upcoming implementation of a new IMO regulation (January 2020) remained supportive, not least because of the continued withdrawal of vessels to allow for scrubber installation, as well as buoyant demand for compliant bunker fuel. The new rules are aimed at reducing emissions by switching to lower sulphur fuels.
- Average **Capesize** earnings were weighed by weakness on Atlantic front-haul routes, partly tied to lower than expected iron ore shipments from Brazil. With additional pressure from worries about weakening fundamentals in the global steel industry, average Baltic sub-Index values

were down by 15 percent from October, but remained markedly higher y/y.

- Panamax** values contracted by nearly one-third on average, led by losses in the Atlantic, partly linked to a seasonal slowdown in grains and oilseeds dispatches from South America. Quotations in the Pacific were likewise weaker amid reports of tighter coal import restrictions in China. Increased competition from Supramax carriers following Indonesia's temporary ban on nickel ore exports likely added pressure.
- Supramax** and **Handysize** Baltic Indices dropped by 32 percent and 19 percent over the month, respectively. While in the Pacific negative factors were similar to those in the Panamax market, plummeting rates in the Black Sea region and at the US Gulf contributed to downside.
- Amid sizable declines at all underlying origins, the **IGC Grains and Oilseeds Freight Index (GOFI)** dropped by 23 percent m/m, with particularly steep falls in Black Sea values due to softer demand from wheat buyers in Asia.



Source: International Grains Council

Baltic Dry Index (BDI): A global benchmark indicator issued daily by the London-based Baltic Exchange, providing an assessment of the costs of moving major raw materials on ocean going vessels. The BDI is a composite measure, comprising sub-indices for four carrying segments, representing different vessel sizes: Capesize, Panamax, Supramax and Handysize.

Capesize: The largest vessels included in the BDI with deadweight tonnage (DWT) above 80 000 DWT, primarily transporting coal, iron ore and other heavy raw materials on long-haul routes.

Panamax: Vessels with capacity of 60 000 to 80 000 DWT, which are mostly geared to transporting coal, grains, oilseeds and other bulks, including sugar and cement.

Supramax/Handysize: Vessels with capacity below 60 000 DWT, which account for the majority of the world's ocean going vessels. They can transport a wide variety of cargoes, including grains and oilseeds.

Explanatory notes

The notions of **tightening** and **easing** used in the summary table of “Markets at a glance” reflect judgmental views that take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts are based on the latest data published by FAO, IGC and USDA. For the former, they also take into account information provided by AMIS focal points (hence the notion “FAO-AMIS”). World estimates and forecasts produced by the three sources may vary due to several reasons, such as varying release dates and different methodologies used in constructing commodity balances. Specifically:

Production: Wheat production data from all three sources refer to production occurring in the first year of the marketing season shown (e.g. crops harvested in 2016 are allocated to the 2016/17 marketing season). Maize and rice production data for FAO-AMIS refer to crops harvested during the first year of the marketing season (e.g. 2016 for the 2016/17 marketing season) in both the northern and southern hemisphere. Rice production data for FAO-AMIS also include northern hemisphere production from secondary crops harvested in the second year of the marketing season (e.g. 2017 for the 2016/17 marketing season). By contrast, rice and maize data for USDA and IGC encompass production in the northern hemisphere occurring during the first year of the season (e.g. 2016 for the 2016/17 marketing season), as well as crops harvested in the southern hemisphere during the second year of the season (e.g. 2017 for the 2016/17 marketing season). For soybeans, the latter approach is used by all three sources.

Supply: Defined as production plus opening stocks by all three sources.

Utilization: For all three sources, wheat, maize and rice utilization includes food, feed and other uses (namely, seeds, industrial uses and post-harvest losses). For soybeans, it comprises crush, food and other uses. However, for all AMIS commodities, the use categories may be grouped differently across sources and may also include residual values.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June basis, except for USDA maize trade estimates, which are reported on an October/September basis. Wheat trade data from all three sources includes wheat flour in wheat grain equivalent, while the USDA also considers wheat products. For rice, trade covers shipments from January to December of the second year of the respective marketing season. For soybeans, trade is reported on an October/September basis by FAO-AMIS and the IGC, while USDA data are based on local marketing years except for Argentina and Brazil which are reported on an October/September basis. Trade between European Union member states is excluded.

Stocks: In general, world stocks of AMIS crops refer to the sum of carry-overs at the close of each country's national marketing year. For soybeans, stock levels reported by the USDA are based on local marketing years, except for Argentina and Brazil, which are adjusted to October/September. For maize and rice, global estimates may vary across sources because of differences in the allocation of production in southern hemisphere countries.

For more information on AMIS Supply and Demand, please view [AMIS Supply and Demand Balances Manual](#).

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
China (17%)	spring												
	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

2020 AMIS Market Monitor Release Dates

February 6, March 5, April 2, May 7, June 4, July 2, September 3, October 8, November 5, December 3

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www.amis-outlook.org/amis-monitoring